

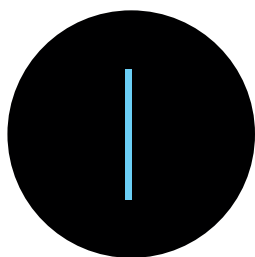


BY KRISHNAMURTHY SUBRAMANIAN

Reviving India's Golden Era

Inspired by the country's rich tradition of ethical wealth creation, India has designed policies that can give a fillip to economic growth

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INDIA@100 CAN BE a wealthy economy only by pursuing ethical wealth creation as its economic mantra. A recent change in India's political economy provides the confidence that India indeed can pursue economic policies that enable ethical wealth creation.

On February 10, 2021, Prime Minister Narendra Modi underlined the importance of "wealth creation" and the role of the private sector in his speech at the Budget Session of Parliament. Acknowledging this pivotal moment that represented a seminal turn in India's economic history, *The Hindu Business Line* titled its lead editorial on February 11, 2021, "Watershed Moment" and wrote: "On the floor of the Lok Sabha, [the PM] made two major points: One, the country needs wealth creators or producers in the first place for that wealth to be distributed, and that they should not be unfairly attacked; and, two, the idea of the government running public enterprises has outlived its time and that the bureaucracy, in any case, should not be running them. Scarcely ever has any senior politician, let alone a prime

minister, spoken with such candour in Parliament."

The change towards embracing wealth creation is a durable one because our policy now recognises that ethical wealth creation has been part of India's DNA for millennia. The idea of ethical wealth creation as a noble human pursuit is rooted in India's old and rich tradition ranging from Kautilya's *Arthashastra* in the North to Thiruvalluvar's *Thirukkural* down South. Given the demonstrated economic benefits that India reaped from pursuing wealth creation by enabling economic freedom—both historically and post the 1991 economic reforms—our conviction towards embracing wealth creation by enabling economic freedom is solid.

Interestingly, *The Hindu Business Line* highlighted in the same editorial: "*Economic Survey 2019-20* made a detailed case for promoting wealth creators, making a crucial distinction between being 'pro-business' and 'pro-crony'." It is crucial to understand how *Economic Survey 2019-20* helped bring about the change in the stance. It is not as if economists in India have not advocated the importance of enabling the private sector and reforms that enable the same. However, reforms enabling the private sector were done either in stealth or when faced with a crisis because the political support for the same could not be mustered.

The crucial reason for the change stems from the motivation underlying the advocacy of the private sector. In the past, economists and politicians that advocated enabling the private sector did so by (implicitly) appealing to Adam Smith and his descendants. In contrast, a crucial change that the *Economic Survey 2019-20* brought was to look back at India's own economic history and its own literature to rigorously make the case for ethical wealth creation. The